

fund. Finally, a fund can offer excellent value even if it doesn't beat the market—by providing an economical way to diversify your holdings and by freeing up your time for all the other things you would rather be doing than picking your own stocks.

The First shall be Last

Why don't more winning funds stay winners?

The better a fund performs, the more obstacles its investors face:

Migrating managers. When a stock picker seems to have the Midas touch, everyone wants him—including rival fund companies. If you bought Transamerica Premier Equity Fund to cash in on the skills of Glen Bickerstaff, who gained 47.5% in 1997, you were quickly out of luck; TCW snatched him away in mid-1998 to run its TCW Galileo Select Equities Fund, and the Transamerica fund lagged the market in three of the next four years. If you bought Fidelity Aggressive Growth Fund in early 2000 to capitalize on the high returns of Erin Sullivan, who had nearly tripled her shareholders' money since 1997, oh well: She quit to start her own hedge fund in 2000, and her former fund lost more than three-quarters of its value over the next three years.^{[3](#)}

Asset elephantiasis. When a fund earns high returns, investors notice—often pouring in hundreds of millions of dollars in a matter of weeks. That leaves the fund manager with few choices—all of them bad. He can keep that money safe for a rainy day, but then the low returns on cash will crimp the fund's results if stocks keep going up. He can put the new money into the stocks he already owns—which have probably gone up since he first bought them and will become dangerously overvalued if he pumps in millions of dollars more. Or he can buy new stocks he didn't like well enough to own already—but he will have to research them from scratch and keep an eye on far more companies than he is used to following.

Finally, when the \$100-million Nimble Fund puts 2% of its assets (or \$2 million) in Minnow Corp., a stock with a total market value of \$500 million, it's buying up less than one-half of 1% of Minnow. But if hot performance swells the Nimble Fund to \$10 billion, then an investment of 2% of its assets would total \$200 million—nearly half the entire value of